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Data Centers Move Center Stage

Strong majorities on both sides of the Atlantic oppose the construction of AI data centers. China could benefit.

By William Echikson

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In Virginia, home to the world's largest concentration of data centers, the buildout of AI data centers has become a central campaign issue. In Finland, public anger is rising over grid strain.

It's a common European and American challenge: how to confront a political backlash against rapid AI infrastructure expansion. Voters are rebelling against rising utility costs — and their anxieties over AI. A recent Gallup poll found that 71% of Americans are against data center construction, and 39% of those surveyed by Pew Research Center consider data centers to be "mostly bad" for the environment.

European polls report similar large majorities in favor of reigning in expansion. Bills banning data center construction have been proposed in 15 states, in both Republican and Democratic strongholds — while in Europe, moratoriums and connection grid freezes are proliferating.

Yet without fast-tracking data center construction, China could gain an unbeatable lead in rolling out the revolutionary technology. Beijing has introduced a massive, multi-year $295 million investment plan. State control squashes any public opposition, though most data hubs are located in rural areas and Chinese citizens offer little pushback, confident that the country's renewable energy will provide sufficient power.

When I worked at Google a decade ago, one of my responsibilities was managing government affairs for the company's European data centers, including giant operations in Finland and Belgium. Google's center in Hamina, Finland represented one of the country's largest-ever foreign investments, totaling billions of euros.

At the time, governments were eager to attract such investments. Massive data centers were often built in depressed regions. Hamina, near the Russian border, suffered from a precipitous drop in trade with its neighbor while its traditional wood and paper industry declined. The Google data center was located in a 1950s shuttered Stora Enso paper mill.

Data centers require much of the same raw materials as traditional steel plants and textile factories: energy and water. Old mills sit on established high-voltage lines; their heavy-duty flooring supports dense rows of server racks and massive cooling. In Madison, North Carolina, an abandoned yarn factory has been transformed into a data center.

Today, AI is creating a data center boom. Attracted by cheap, plentiful energy, land, and water (for cooling), Finland is swamped with 22 new data center projects, including one from Chinese social media platform TikTok. Officials who worked hard to bring Google to Finland now tell me of a rising backlash.

On both sides of the Atlantic Ocean, data centers are being blamed for rising energy costs. In the US, both Democratic and Republican congressional candidates vow to

rein in soaring electricity prices, up 30% over the past few years. “We had an $850 electricity bill, and that’s become the norm,” Democrat Elizabeth Dempsey Beggs said in an interview. Beggs supports a moratorium on data center construction.

Republicans are also becoming data center skeptics. Trump-endorsed Representative Rob Wittman, a nine-term incumbent, acknowledged that rate hikes represent a “legitimate concern” and said developers should “mind the impact” of energy costs.

Beyond the risk of blackouts and rising electricity bills, critics cite disruptive construction and question the positive impact on jobs. Data centers create few long-term jobs. At the Google centers where I worked, subcontracted security staff outnumbered the full-time maintenance team. In North Carolina, the yarn-mill-turned-data-center will employ 60 — far less than the former factory’s laid-off workforce of 250.

The impact of AI and data centers on jobs remains divisive. Most Americans still credit data centers with creating employment, and the issue has moved center stage in Ohio’s Senate race. After Democrat nominee and former Senator Sherrod Brown labeled Republican Senator Jon Husted “the face of data centers,” several unions that formerly supported Brown switched sides and endorsed Husted, who has argued that the benefits of data centers would outweigh the costs and that Ohio should become “the tech capital of the Midwest.”

Despite the data center backlash, politicians are finding it difficult to impose bans or construction freezes. The economic case for cashing in on the AI boom remains compelling. The European Commission estimates the bloc needs at least €1.2 trillion euros in data center investments by 2040. Ireland and the Netherlands enacted de facto moratoriums, although Ireland's was later lifted. Strict permitting rules remain in place.

In the US, moderate Democrats support continued data center construction, if accompanied by regulations to mitigate pollution and electricity rate hikes. Virginia Senator Mark Warner deems a data center moratorium to be "idiocy." He has sponsored federal legislation to mandate that data centers use clean energy, as well as pay for associated energy costs and upgrades to local energy infrastructure.

Tech-friendly Democrats warn against an anti-AI crusade. It "feeds the narratives about Democrats that make Biden and the party brand so unpopular," warns Dave Vorland of the Chamber of Progress, a center-left industry policy coalition. "We are the nanny state scolds, we are anti-business and innovation, and not focused on the issues that voters care about most." He points to research showing that AI ranks only 29th out of 39 issues — far behind cost of living.

Republicans have rallied around the Trump administration's Ratepayer Protection Pledge, a voluntary promise by developers that data center construction wouldn't raise people's energy bills. The Trump administration seeks to build more AI infrastructure on federal land.

President Donald Trump remains a big fan. When Democratic New York Governor Kathy Hochul signed an order halting the construction of new data centers, Trump called them "big, strong, bold, and Money Machines." Later, he told Fox News that "any community that turns down AI is making a big mistake," claiming data centers would reduce taxes and make property values go up. In another interview with Punchbowl News, he said data centers could be "bigger than oil."

In fact, the real problem may be that neither Europe nor the US is building fast enough. Despite the perception that data center construction is ravaging both Europe and the US, the industry reports significant delays due to materials, power, and labor shortages. Only about *half* of the AI computing capacity scheduled to activate between now and 2028 is actually expected to come online by its target date, according to Goldman Sachs.

Whoever wins the midterms, and whoever campaigns in Europe against data centers, will have to confront the reality that stalled data center construction could hurt both America and Europe in the AI race against China.

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Image Credit

Photo: The Memphis City Council approved the Data Center Moratorium for the 1st reading during a City Hall meeting on August 18, 2026 at 125 North Main Street in Memphis,Tenn.